

Lesson 2.17: The Crisis and Panic Selling

Unit: Unit 2, Me, My Goals, My Money (Individual Growth and Life Readiness) **Topic:** 2.4 The Gilded Age Market Investor Challenge **Grade:** 6 to 8 (written at grade 7; see Differentiation for the grade 6 support and grade 8 stretch) **Days:** 2 class periods of 40 minutes **Room:** classroom with a board (the market is a paper game; see Project 02)

Standards

- NYS module line: NYS IGLR 4. Financial Readiness e) Determine ways for saving money
- NYS module line: NYS IGLR 2. Goal Setting d) Design, implement, and evaluate a plan to attain a desired goal
- CTE theme line: CTE PSI 1. Problem Solving e) Demonstrate personal development of problem-solving skills through practice of these skills in a variety of classroom applications
- CTE theme line: CTE HSW 6. Stress Management c) Recognize signs of stress and take steps to reduce its impact on overall wellness
- NYS FACS Learning Standard 3 (Intermediate), Key Idea: Students will understand and be able to manage personal resources of talent, time, energy, and money and make effective decisions in order to balance their obligations to work, family, and self.; Performance Indicator: Students understand the resources available to them, make informed decisions about the use of those resources, and know some ways to expand resources.
- CDOS Standard 3a Universal Foundation Skills: Thinking Skills
- National FCS 3.0: 2.1.2 Examine how people and families choose among needs and wants.

Note on the NYS FACS citation: the topic plan named Standard 3 PI B and PI D for this lesson. PI D reads “Students understand how working contributes to a quality living environment,” which does not fit a lesson on a market crash, so it is not cited. The decision-making language the lesson needs is in the Standard 3 Key Idea (“make effective decisions”), quoted above. Standard 1 PI D (“Students apply the decision making process to dilemmas related to personal health”) fits the stress half of this lesson, but the state assigns only Standards 2 and 3 to the IGLR module, so it is not cited either.

Enduring understanding and essential question

Big idea: A boom is when prices rise so long that everyone forgets they can fall. A crash is when they fall fast and everyone feels it at once. The feeling is real both times; the loss is only real if you sell, or if you borrowed. The people who do worst in a crash are usually the ones who decided fastest, in 1928 or in 1929. **Essential question:** When your money is climbing and everyone is buying, or falling and everyone is selling, what is the smart thing to do, and how would you know?

Objectives

By the end of this lesson, students will be able to:

1. (Low) Given the Round 6 and Round 7 dispatches, describe what a boom, a margin loan and a market crash are, and name two signs of stress they noticed in themselves or the room.
2. (Mid) Given their own ledger at 1928 prices and again at October 1929 prices, apply the five-step decision model (name the choice, list options, weigh each against what matters, decide, look back) to the sell, hold, buy or borrow choice and record it on the decision grid before trading.
3. (High) Given the class poll and the two crashes on the class's own board (1893 and 1929), evaluate their own Round 6 and Round 7 decisions in writing: a plan or a rush, a plan or a panic, and what number from the ledger says so.

Vocabulary

Tier 2 (general academic): crisis, panic, evidence, recover Tier 3 (FACS): boom, margin loan, margin call, market crash, panic selling, sell, hold, buy, loss aversion (grade 8 stretch only). See the unit vocabulary list for the Spanish column.

Materials and setup

- Handout 02.14 - The Gilded Age Market Kit.md (teacher): page 2 for the Round 6 and Round 7 prices, page 3 for the two dispatches, page 1 for the margin rule
- Handout 02.19 - Paper Ledger.md (student), in every folder since Round 0; the margin line is on it
- Handout 02.17 - Sell Hold Buy Decision Grid.md, one per student
- Investor Journal in the folder
- The teacher's own paper ledger, loaded with RADIO on purpose before Day 1, to model the grid on
- Four corner signs: SOLD SOME, SOLD EVERYTHING, HELD, BOUGHT MORE (for Day 2)
- Slides: Slides 02.17 - The Crisis and Panic Selling
- Exit cards, calculators for the margin math
- Setup notes: before class on Day 1, write "Round 6, 1928" and the Round 6 prices on the board (RAIL 70, OIL 70, GAS 40, ELEC 90, STEEL 90, AUTO 60, RADIO 100) and cover the dispatch until Step 1. Before class on Day 2, write "Round 7, October 1929" and the Round 7 prices (RAIL 45, OIL 50, GAS 32, ELEC 45, STEEL 50, AUTO 30, RADIO 30). Do not tell them on Day 1 what Day 2 brings; the kit's Round 6 question ("is that a reason to buy, or a reason to worry?") is the only hint they get. Have the class list ready for the clipboard check on emotion words. Tell the health teacher this is the week the stress lesson happens, so the words match.

Pre-assessment

The Lesson 2.16 exit cards and pie sketches tell you who is walking in with one big slice. Those students, and anyone who asks about the margin line before you explain it, are the ones to watch in the first three minutes of Day 1, not to rescue, but to make sure they are writing before they trade.

Do now and hook (Time: 3 min, Day 1)

The Round 6 prices are on the board when students walk in, under the year 1928. On the board: “Write the Round 6 prices in your ledger. Work out your total. It is probably the highest it has ever been. Write one word for how you feel and one thing you want to do right now. Do not trade yet.”

Debrief: collect the feeling words out loud, fast, and write them on the board (rich, excited, nervous, greedy, fine). The hook is the board itself: “Every one of those words has cost somebody real money. Today you learn to feel it and still think.”

Procedure

Step	Teacher will	Students will	Time
Day 1, 1. Direct instruction: the boom and the margin line	Slides 3 to 5. Read the Round 6 dispatch aloud (kit page 3): radios in ten million homes, prices roughly tripled in four years, everyone buying, brokers lending. Say what a boom is: prices rising for so long that people buy because prices are rising, not because the company is worth more. Then the margin rule from kit page 1: today, and today only, the broker lends you up to the cash you hold, at Round 6 prices; the loan goes on the ledger's margin line; next round the broker wants it back in cash. Then the body, from HSW 6. c): wanting to act right now and not being able to think of anything else are signs of stress, and greed feels the same	Circle any stress sign they felt on the decision grid. Check the ledger: the bank paid; which companies rose most since Round 5.	6 min

	in the body as fear. The one step that helps before a money decision: stop, breathe once, name what you are choosing. Point at the bank line: it paid 3 percent again and did not move.		
Day 1, 2. Learning activity: the decision grid, taught before the crash	Hand out the grid. Walk the five steps with the teacher ledger as the example (loaded with RADIO on purpose, bought at 6 in Round 5, now 100). Name the choice: sell, hold, buy more with cash, or buy on margin. List the four options. Weigh each against what matters (the rows on the grid: what happens if prices keep rising, what happens if they fall by half next round, can I pay a margin loan back if they fall, how I will feel next round, does it fit my pie). Decide. Leave “look back” blank for Day 2. Students do their own grid for their own ledger. Circulate; require a written decision before any trade.	Fill the grid’s Round 6 section for their own ledger. Write the decision and one reason before touching the trade log.	10 min
Day 1, 3. Trading, Round 6	Open trading at Round 6 prices. Anyone borrowing	Trade, borrow or hold according to the grid. Record every	10 min

	writes the loan on the margin line first, adds it to cash, then buys. Say once, before the first trade: “Your grid says what you decided. If you change your mind, write why on the grid first.” The trading time runs longer today than the kit’s four minutes because the margin line takes a minute to write. Circulate with the clipboard: who is borrowing, who is buying RADIO at 100, who is moving money to the bank, who is holding.	trade in the ledger’s trade log and on the grid’s trade box. Fill the Round 6 holdings table.	
Day 1, 4. Investor Journal, Entry 6	Prompt: what I did, why, what happened, my total in dollars, plus: my margin loan is \$___ (or none), and how I felt at the start and how I feel now, in one sentence each.	Write Entry 6 with the total.	7 min
Day 1, closure	See Closure.		4 min
Day 2, do now	The Round 7 prices are on the board under “October 1929.” On the board: “Write the Round 7 prices in your ledger. Work out your total. Write one word for how you feel and one thing you want to do right now. Do not trade yet.” Collect the feeling words fast and write them next	Fill the Round 7 price column and the holdings table. Write one word and one wish.	3 min

	to yesterday's (scared, sick, mad, fine).		
Day 2, 5. Direct instruction: the crash and the margin call	Read the Round 7 dispatch aloud (kit page 3) in a flat voice: Thursday, October 24; the bankers' pool; Monday the 28th, nearly thirteen percent; Tuesday the 29th, nearly twelve percent more; brokers calling in loans; radio losing seven tenths of its value. What a crash is: prices falling fast because more people want out than in, all at once. The body again: a fast heartbeat, a tight stomach, wanting to act right now. Then the two facts that matter: you have not lost anything until you sell, unless you borrowed; and the bank did not move and paid 3 percent again. Then the margin call, from kit page 1: anyone with a loan on the margin line pays it now, in cash; if the cash is not there, sell shares at Round 7 prices until it is; if the shares are not enough, the loan takes everything and the total is \$0.	Circle the stress signs they feel now on the grid's Round 7 section. Anyone with a margin loan does the margin call math box on the grid.	6 min

Day 2, 6. Margin calls, the grid, and trading, Round 7	First, settle every margin loan with the teacher watching: cash paid or shares sold at Round 7 prices, written in the trade log, margin line to zero. Then the rule from yesterday: a written decision on the grid's Round 7 section (sell, hold or buy) before any trade. Then open trading at Round 7 prices for four minutes. Circulate with the clipboard: who is selling everything, who is holding, who is buying, who is frozen. Say nothing about what Round 8 brings.	Settle any margin loan. Write the Round 7 decision and reason. Trade or hold according to it. Record trades in the trade log and on the grid.	10 min
Day 2, 7. The class poll and two crashes on our own board	Four corners: students go to the corner that matches what they just did (SOLD SOME, SOLD EVERYTHING, HELD, BOUGHT MORE). Count each corner on the board. Ask one student in each corner: why. Then the question that makes the lesson: "Whose total dropped the most from Round 6 to Round 7?" Take three numbers from each corner; the margin borrowers are almost always	Move to a corner. Give a reason. Report a number. Then fill the two-crash organizer on the back of the grid: what caused it, how far our board fell (two companies each), what held, what happened to people who sold at the bottom.	10 min

	the biggest drops. Do not declare a winner; the next rounds decide that. Then slides 12 to 15: the two crashes this class has already lived through on paper, side by side from the kit dispatches. Round 3, 1893: the Philadelphia and Reading Railroad bankrupt in February, about five hundred banks and more than fifteen thousand businesses failed, about one worker in six out of work; on our board RAIL fell from 45 to 25 and ELEC from 25 to 10, while OIL, GAS and the bank barely moved; and by Round 4 (1901) RAIL was 60 and ELEC 40. Round 7, 1929: brokers called their loans and the borrowers' selling pushed prices lower; on our board RADIO fell from 100 to 30 and ELEC from 90 to 45, GAS fell least (40 to 32) and the bank did not move. What happened next after 1929, we find out in Round 8. The caution: not every company recovers; that is why		
--	---	--	--

	diversification, not one lucky guess.		
Day 2, 8. Investor Journal, Entry 7, and “look back” on the grid	Prompt: what I did, why, what happened, my total in dollars, plus: fill the “look back” row on the grid: was my Round 6 decision a plan or a rush, was my Round 7 decision a plan or a panic, and what is my evidence (a number from the ledger).	Write Entry 7 and the look back row.	7 min
Day 2, closure	See Closure.		4 min

Day 1 totals 40 minutes: 3 + 6 + 10 + 10 + 7 + 4. Day 2 totals 40 minutes: 3 + 6 + 10 + 10 + 7 + 4.

Questions to ask

Monitor understanding:

- Which line on your ledger did not fall between Round 6 and Round 7? Why that one?
- You held. Your total is down \$600. Did you lose \$600?
- You borrowed \$200 in Round 6 and bought 2 RADIO at 100. RADIO is 30. What does the broker want, and what do you have?
- You sold everything at Round 7 prices. What would you need to see to buy back in?

Deepen learning:

- Two students both held RADIO at 100. One sold at 30, one held. Which one made the decision, and which one had the decision made for them by their stomach?
- The Round 7 dispatch says the factories are still there. So what changed between Round 6 and Round 7?
- In 1893 RAIL fell from 45 to 25 and was 60 by 1901. Who was hurt worst then: the person who never bought RAIL, the one who held, or the one who sold at 25? What does that tell you about 1929?
- What does a stress sign feel like in your body, and how would you know it before you write a sell in the log?

Check for understanding

Day 1, Step 2: clipboard yes or no per student on “grid has a Round 6 decision written before the first trade” and “the reason names a number or a risk level, not a feeling alone.” Day 2, Step 8: yes or no on “look back names a piece of evidence.” A “got it” look back sounds like:

“Round 6 was a rush: I bought 3 RADIO at 100 because everyone was. Round 7 was a plan: I held, because 3 shares at 30 is \$90 and selling would lock in a \$210 loss, and the bank still has my \$250.”

Closure (Time: 4 min each day)

Day 1: two students read the “how I feel now” sentence from Entry 6. Exit card: “One stress sign I noticed today, and one thing I did or could do before a money decision.” Sort into “got it” (names a sign and a step) and “needs more” (the health teacher’s stress lesson covers the rest; flag the cards for them). Day 2: exit card, 3-2-1: 3 things that happened in October 1929 from the dispatch, 2 lines on the ledger that held or fell least, 1 sentence: plan or panic, and why. Three students read the “1” aloud, from different corners if possible. Sort; a student who could not name a line that held gets the two-crash organizer with the “what held” column filled by the teacher.

Differentiation and supports

- ELL: both dispatches are read aloud twice, once fast and once slow; the decision grid has the five steps as icons (a question mark, a list, a scale, a check mark, a mirror) and a word bank for feelings in English and Spanish (scared, worried, calm, angry, excited); sentence starter “I felt ___ when the prices dropped” is on the journal template; the two-crash organizer is a table, not a paragraph; the margin rule is on the grid as three short lines with a worked example.
- IEP and 504 (general): a student who becomes distressed by the drop can turn the ledger face down and do the grid first with the teacher’s numbers; the four-corners poll can be done seated with a hand vote; the two-crash notes can be a printed slide with two blanks each; the margin math box can be done with the teacher; extended time by finishing the look back at the start of Lesson 2.18. Tell the counselor’s office in advance that this week is a designed stress moment in a game, so no one is surprised by what a student reports.
- Grade 6 support: the grid weighs two options on each day (sell or hold on Day 2; hold or buy with cash on Day 1), and the margin line stays closed for the student unless they ask for it; the two crashes are taught as one story (1929) with 1893 in one sentence.
- Grade 8 stretch: introduce the term loss aversion (losing \$100 feels worse than winning \$100 feels good) and ask the student to find one line in their journal that shows it; the student computes the percent drop of one company from Round 6 to Round 7 from the ledger (a preview of Lesson 2.18), and works out the largest margin loan that would still have survived Round 7 on their own ledger.
- UDL checkpoint used: multiple means of engagement (a real feeling, named and managed, in a safe setting) and multiple means of action and expression (the grid can be written, dictated, or done with the icon strip and a check mark).
- No-kitchen or no-machine alternative: not needed; the whole lesson is paper, a board and a room to stand up in. If the class cannot move for four corners, the poll is four hand votes.

Assessment

Objective	Standards met	Learning task	Assessment (formative or
-----------	---------------	---------------	--------------------------

			summative; tool)
1. Describe a boom, a margin loan and a crash, and name two stress signs	HSW 6. c); IGLR 4. e)	Do now both days; Day 1 exit card	Formative; exit card sorted got it or needs more
2. Apply the five-step decision model to sell, hold, buy or borrow	PSI 1. e); IGLR 2. d); Std 3 KI; CDOS 3a Thinking Skills; National FCS 2.1.2	Decision grid, Day 1 Step 2 and Day 2 Step 6, and the trades that follow	Formative now; summative on Rubric 02 criterion 3 (emotional control during the crisis), where “a written decision before the trade” is the Meets descriptor
3. Evaluate the Round 6 and Round 7 decisions as plan, rush or panic with evidence	IGLR 2. d); Std 3 PI B; CDOS 3a Thinking Skills	Look back row and Entry 7, Day 2 Step 8	Formative now; summative on Rubric 02 criterion 3 and criterion 4 (the report’s “what the crash taught me” section)

Homework

None. Optional: ask an adult if they remember a time the stock market fell, or a family story about hard times handed down, and what people did with their money, if they are willing to say. No dollar amounts.

Connections

Health: the stress signs and the “stop, breathe, name the choice” step are the health teacher’s territory (HSW 6). Coordinate the week so both classes use the same words; FACS gives health a live stress moment students can name, health gives FACS the calming techniques. Social studies: the 1920s boom and the crash of October 1929 are US history; the social studies teacher gets a class that has held RADIO at 100 and watched it go to 30.

Sources

- NYS Middle Level CTE FACS Content Module 01, Individual Growth and Life Readiness, lines 2. d) and 4. e).
- NYS Middle Level CTE Theme Module 05, Problem Solving and Innovation, line 1. e); Theme Module 04, Health, Safety, and Wellness, line 6. c).
- NYS FACS Standard 3, Intermediate; CDOS 3a Thinking Skills; National FCS 3.0 competency 2.1.2, all per 02 Standards/STANDARDS CROSSWALK.md.
- The five-step decision model from Unit 0: name the choice, list options, weigh each against what matters, decide, look back.

- Handout 02.14 - The Gilded Age Market Kit.md: the margin rule (page 1), the Round 6 and Round 7 prices (page 2), the Round 3, Round 6 and Round 7 dispatches (page 3). Every date and figure in this lesson comes from the kit.
- My own materials: my earlier market simulation plan (the crisis and holding strategy days, and the warm-up “Your friend sold everything. You held. Who made the better choice?”; the note “Don’t warn students ahead of time”).

Teacher notes

- If Day 1 runs short, cut the journal entry to the three base sentences and the total, and take the feelings lines into the Day 2 do now. Never cut the grid before trading; a trade with no written decision is the rush the lesson is trying to catch.
- The teacher ledger: load it with RADIO before Day 1 (say, 20 shares bought at 6 in Round 5, worth \$2,000 at 100) so you have a real booming ledger to model the grid on, and a real crashing one on Day 2. Students watch you not panic either day.
- The margin line is the whole reason Day 1 exists. Do not talk anyone out of borrowing. A student who borrows the maximum, buys RADIO at 100 and is wiped out at 30 has the best possible Entry 7, and the rubric scores the reasoning, not the total. Say once, clearly, what a margin call is; then let them decide.
- Common mistake: a student who was wiped out or sold everything on Day 2 wants to “start over.” No resets during the crash. The report they write about that decision is worth more than a clean leaderboard. Round 2 (Lessons 2.20 to 2.22) is the fresh \$1,000.
- Watch for a student who is genuinely upset, not game upset. It happens about once a year. The ledger goes face down, the grid gets done with you, and the leaderboard is not mentioned to that student again this week.
- Do not tell the class what Round 8 brings. Some of them will read the last line of the Round 7 dispatch (“the factories are still there”) and buy at 30; that is the best possible Entry 7. Some will read it and still be wrong for three more years. That is Lesson 2.18.